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INDONESIA AND EAST TIMOR

Indonesia lurched haltingly toward a more democratic political system but remained in thrall to a powerful military that oversaw the destruction of East Timor in September.

Government leaders gave little attention to resolving nationalist, ethnic, and communal conflicts, particularly in Aceh, in northern Sumatra; Ambon, in the Moluccan islands; West Kalimantan, on the island of Borneo; and Irian Jaya, on the western half of the island of New Guinea. Corruption remained endemic. So much of the ancien regime remained entrenched that the year's political developments underscored how hard it was going to be for Indonesia to emerge from the legacy of disgraced President Soeharto.

Three key votes took place during the year. On June 7, Indonesia held its first free parliamentary election in forty-four years, with voters decisively defeating the ruling party, Golkar. On August 30, in a "popular consultation" organized by the United Nations, close to 80 percent of East Timorese voters decided to reject an autonomy package offered by Indonesia and move toward independence. On October 20, the newly elected parliament in Jakarta and 200 other appointed delegates chose Abdurrachman Wahid as the country's fourth president in a ballot that for the first time ever did not have a predetermined outcome. The opposition leader Megawati Soekarnoputri was elected vice-president the next day.

The June elections were preceded by a boisterous but peaceful campaign that defied expectations of widespread violence. The August ballot in East Timor was preceded by systematic terrorization of independence supporters by Indonesian army-backed militia and local police and military. The international community was unwilling to exert the pressure needed to stop it, initially in the belief that the military in a democratizing Indonesia must be better than it was under authoritarian leadership. Even when the role of the Jakarta military command in the East Timor violence became obvious, those countries with leverage over Indonesia were reluctant to use it for fear of setting back Indonesia's economic recovery and political stabilization.

Officials in Jakarta exploited that concern throughout the year. Even in late September, after a scorched earth campaign had left East Timor a smoking ruin, some of Indonesia's major donors were reluctant to press too hard for an international investigation into possible crimes against humanity for fear that the military would mount a coup against a weak and discredited civilian leadership. Angry Indonesian democracy activists said the opposite was true: if military officers were not held accountable for what they had done in East Timor, Indonesia would never rid itself of military rule and genuinely democratize.

Human Rights Developments

Violence in and around Jakarta in November 1998 foreshadowed many of the political conflicts that were to erupt across the country in 1999. From November 10 to November 13, a special session of the People's Consultative Assembly (Majelis Permusyawaratan Rakyat or MPR) was held to draft the legal framework for reform of the political system. On November 13, the last day of the session, sixteen people, mostly students, died in the Semanggi area of the capital as soldiers fired bullets at rock-throwing crowds calling for President Habibie's resignation and protesting the military's ongoing involvement in politics. The violence was exacerbated by thousands of civilian guards armed with

sharpened bamboo staves who had been deployed and paid by the army as a security measure to protect the MPR session, some of them chosen for their opposition to the student pro-democracy movement. The army's increased reliance on civilian auxiliaries during the year only served to intensify existing conflicts.

In the months that followed the MPR session, Indonesia took a number of tentative steps toward reform. The parliament passed a new and exceedingly complex election law that lay the groundwork for multiparty competition in the national elections in June.

In March, Justice Minister Muladi stated that since taking office in May 1998, the Habibie administration had freed 202 of 242 political prisoners; by year's end, twelve more had been released. Those freed in 1999 included forty-three Acehnese; twenty-seven East Timorese, including resistance leader Xanana Gusmao, who was released on September 8; fifteen Muslim activists from Lampung, Sumatra; ten men arrested in connection with the coup attempt in 1965-66; and Dita Indah Sari, a labor activist from the militant People's Democratic Party (Partai Rakyat Demokratik or PRD), who was amnestied and released on July 7. Budiman Sujatmiko and six other PRD members refused a presidential amnesty in March; Budiman said he would stay in prison until general amnesty was extended to all political prisoners.

On April 1, in a move seen as presaging civilian control over the security forces, the police were formally separated from the military and placed under the Ministry of Defense rather than the Commander of the Armed Forces. The separation was more in principle than in practice, however, since the Minister of Defense and the Commander of the Armed Forces were the same person, General Wiranto. Wiranto appeared to be making an effort to send police rather than soldiers to situations of civil unrest during the year, but in some cases, as in East Timor, local observers reported that many of the "police" were merely soldiers with new uniforms that they recognized from earlier tours of duty.

By March, an Election Commission had approved forty-eight parties to compete in the June elections, a whopping increase over the three officially-approved parties allowed by the Soeharto government. Despite fears of ethnic and communal violence, the campaign was exuberant and peaceful, if focused more on personalities than issues. Over 90 percent of the eligible voters turned out in June in a process that an army of international observers said was largely free and fair. The counting was painfully slow, and it was not until September 1 that the final tally was announced, with the Indonesian Democratic Struggle Party (PDI-Perjuangan) of Megawati Soekarnoputri garnering the most votes.

On September 23, students in Jakarta put the government on notice that they would take to the streets if it took decisions that went counter to reform. That day, the parliament passed an army-backed bill on national security that would have given the army sweeping powers to declare states of emergency at the regional or national level. Pro-democracy groups and student organizations mobilized thousands to protest, and in the ensuing clash with security forces, four people were killed, including one policeman. On September 24, the government announced that it was suspending implementation of the law.

The national security bill went to the heart of a key issue in Indonesia's democratization-whether civilians would have control over the military. In April, the parliament made good on the Habibie government's promise to abolish the hated 1963 anti-subversion law, which had been used repeatedly by Soeharto to detain political opponents. In the same session, however, legislators revised the Indonesian Criminal Code to incorporate many of the defunct bill's articles on crimes against the state. And in July, the Ministry of Defense and Security under General Wiranto submitted a draft of a new internal security law which allowed the president to declare martial law in parts of the country beset by separatist rebellions, communal violence, or "ideological challenges."

General Wiranto claimed the bill was a needed reform of the 1959 law it replaced, because it placed a number of checks on the declaration of a state of emergency. But to many concerned with civil-military relations, the law still gave too much power to the military. The protests against it were the most violent in Jakarta since the rioting that preceded Soeharto's fall in May 1998. They also served as a reminder to the MPR delegates who began meeting on October 4 that rubber-stamping was no longer acceptable to those who wanted change.

The MPR session had as its major item of business the selection of a new president. The thirty-eight seats reserved for the military in the 700-member MPR took on far more importance with forty-eight parties as opposed to three, and it was likely that Abdurrachman Wahid's election was made possible in part by military support.

While Jakarta seemed totally preoccupied by the maneuverings of its own elite, the rest of the country seemed to be descending into political unrest of varying degrees of violence. On November 22, 1998, the first in a series of communal riots erupted in Ketapang, a Jakarta neighborhood, following a rumor that security guards for a local casino-almost all of them Ambonese Christians-had burned down a local mosque. Muslim youths trucked into the area then lynched seven Ambonese and destroyed thirteen churches, as Jakarta police stood by. Thirteen people in all were killed.

A week later, on November 30, Christian youths in Kupang, West Timor, protesting the church-burnings in Ketapang, attacked mosques, shops and homes belonging to ethnic Bugis, a Muslim immigrant group from South Sulawesi. In both Ketapang and Kupang, there was some evidence of provocation but by whom and for what reason was not clear.

On December 5, a church was burned in Ujung Pandang, Sulawesi, apparently in retaliation for the Kupang riot. And on January 19, the last day of the Muslim fasting month, a fight between a Christian driver and a Muslim youth in the city of Ambon, capital of the Maluku province, set off a civil war that spread to islands far to the south and was continuing in October, with no end in sight and tens of thousands displaced. While the international press tended to portray the Christian side as the primary victims and the Indonesian press emphasized attacks on Muslims, both sides were equally perpetrators and victims. By the second month of the conflict, allegations that Indonesian security forces had stood by and done nothing to prevent the initial clashes had shifted to accusations by local leaders that they were playing a partisan role, with the army accused of siding with the Muslims and police with the Christians. By September, a rights group in Jakarta placed the death toll since January at 1,349.

As in Ketapang and Kupang, allegations of provocation in Ambon were widespread, with several politicians charging that elements within the army linked to the Soeharto family were trying to stir up civil unrest to either disrupt the elections planned for June or pave the way for the return of the military to power. Evidence, however, was all circumstantial.

Communal violence also flared up again in West Kalimantan where indigenous Dayaks had attacked Madurese immigrants in 1997. This time the conflict started in January between Madurese and ethnic Malays but Dayaks and even ethnic Chinese joined forces with the Malays to attack Madurese, a much resented immigrant group. Some 200 were killed, mostly Madurese, and 30,000 Madurese were displaced.

Meanwhile, a non-violent pro-independence movement in Irian Jaya gathered strength in the post-Soeharto political climate. On February 26, in what was billed as a "national dialogue" on Irian Jaya's future political status, one hundred prominent public figures from Irian Jaya presented President Habibie with a statement expressing the aspirations of the people of Irian Jaya for independence. The government rejected any discussion of independence, and in April, after participants in the meeting tried to disseminate the results of the meeting to a larger public at home, the Irian Jaya chief of police banned any further discussion. In August, news leaked out that five prominent Irianese had been banned from leaving Indonesia as of June 28. The ban, initiated by the military and imposed by immigration officials, was justified on unspecified national security grounds. Those affected were Tom Beanal, a tribal leader and plaintiff in a lawsuit against the U.S. company Freeport McMoRan; Dr. Benny Giay, a Protestant minister and professor; Willy Mandowen, a professor of linguistics at Cenderawasih University in Jayapura and founder of the Forum for Reconciliation of the People of Irian Jaya (FORERI); Octovianus Mote, Jayapura bureau chief of Jakarta's best-known newspaper, Kompas; and Herman Awom, assistant general secretary of the Evangelical Christian Church in Irian Jaya. All were associated with support for changing Irian Jaya's political status through peaceful means.

Separatist flag-raising in July and September in the districts of Sorong and Jayapura claimed three lives and resulted in at least nineteen new political prisoners. Also in September, residents of Manokwari, suspecting that arriving ships carried provocateurs from Ambon and East Timor, began

checking identity cards of disembarking passengers. In clashes on September 24, one man died and police shot another in the chest as they blocked crowds from entering the port area. The next day, crowds threw rocks at police, who responded with gunfire, wounding two other men. The Manokwari police chief was replaced three weeks later.

And then there was Aceh, by far the most serious of the regional insurgencies. Calls for a referendum on Aceh's political status that began in January were fueled by bitter disappointment over the lack of accountability for atrocities committed by the Indonesian military during its operations there from May 1990 to September 1998. Students initiated the demand for a referendum in an Aceh-wide congress on January 28, 1999, but it was taken up by others including members of the local parliament and, on September 14, by influential religious leaders who comprise the Ulama Council of Aceh.

A long-simmering rebellion led by a guerrilla group called the Free Aceh Movement (Gerakan Aceh Merdeka or GAM) flared up again in late 1998, sparking the same kind of heavy-handed counterinsurgency operations that had led to so many abuses eight years earlier. On December 29, a pro-independence mob pulled seven soldiers off a bus in the town of Lhok Nibong and killed them; the next day, two army officers were kidnaped, apparently by GAM, near the city of Lhokseumawe. On January 3, in the course of military operations in Lhokseumawe, the army opened fire on villagers from the hamlet of Pusong, killing at least five. On January 5 and 9, it conducted search operations in the village of Kandang, just outside Lhokseumawe, where it believed GAM supporters and one GAM leader in particular were hiding. Dozens of young men captured during these operations were detained in a building belonging to the government youth association, KNPI, in Lhokseumawe. In the evening of January 9, a group of soldiers entered the building and started beating the detainees, four of whom later died of their injuries. In the speediest prosecution ever known in Indonesia, the Indonesian officer responsible for the assault, whose men had been killed in the bus incident in December, was tried and sentenced by a military court to six years in prison.

Further shootings by the army resulting in civilian deaths took place on February 2-3 in Idi Cut, East Aceh, in which at least seven were killed and seventy-four wounded; a visit by President Habibie to Aceh on March 26 sparked angry demonstrations and only served to exacerbate tensions. On May 3 in Kreung Geukueh, North Aceh, at least thirty-nine people were killed when the military opened fire on a crowd marching toward an army base; and on July 23, more than fifty were believed killed when the army opened fire on a religious school in West Aceh. Army officers believed the school's charismatic head, Teungku Bantaqiah, was collecting arms for GAM. Four guns were reportedly found at the site.

By year's end, much of the districts of North Aceh and Aceh Pidie were under direct control of GAM, government services were at a standstill, and Indonesian officials in Jakarta had made no move to prosecute anyone for abuses committed in the 1990-98 period.

In the aftermath of the May 1998 riots in Jakarta that had been directed against ethnic Chinese, several new groups emerged in 1999 to promote better race relations and lobby for the repeal of discriminatory laws. But only superficial gains were made: a ban on government use of the word pribumi, or "indigenous," a term usually invoked to differentiate ethnic Chinese from other Indonesians, and the repeal of a ban on Chinese schools. Many Indonesians of Chinese descent still carried special identifying numbers on their national identity cards, although the practice was said to have ended.

A new press law passed on September 13 guaranteed press freedom and no longer required publishers to obtain a publishing license from the government. The role of the Information Ministry was expected to be substantially reduced as the new law took effect.

Throughout the year, Indonesia continued to be hobbled by economic woes and endemic corruption. Signs of recovery at mid-year were swept aside by revelations that a major bank, Bank Bali, had paid some \$70 million as a commission for loan recoveries to a company closely linked to the ruling Golkar party. An investigation into former President Soeharto's ill-gotten wealth got nowhere, in part because Attorney General Andi Ghalib, who was supposed to be leading the investigation, was himself suspected of corruption and in part because, as an intercepted conversation in February between President Habibie and Andi Ghalib revealed, the government was not serious about pursuing it anyway. It was finally suspended in October.

East Timor

By mid-September, the U.N. Secretary-General was suggesting that the Indonesian army's actions in East Timor might constitute crimes against humanity. Beginning in January, its use of local militia to intimidate, harass, and sometimes kill East Timorese suspected of supporting independence seemed clearly designed to thwart moves toward a referendum or if that failed, to ensure that the vote went in favor of continuing integration with Indonesia.

But that strategy ran directly counter to that of President Habibie, who announced on January 27 that his government had decided to give East Timorese the "second option" of independence if they rejected the first option, a proposal for far-reaching autonomy under Indonesian sovereignty. That proposal had first been broached in August 1998.

Officials from Indonesia, Portugal, and the U.N. proceeded to negotiate the substance of the autonomy package as well as the means by which East Timorese would be asked to accept or reject it. But as the details were being hammered out in Lisbon, Jakarta and New York, the Indonesian military was organizing, arming, and training pro-independence militia in each of East Timor's thirteen districts. Some of these militia had existed since the late 1970s; others were newly created. But the army, apparently under the leadership of the army special forces, known as Kopassus, linked them into a centrally-coordinated network with a political front organization as a way of defending "autonomy"- which came to mean not enhanced self-government but the status quo. A systematic pattern of violence began in February and culminated in April with two massacres in the capital, Dili, and a town to the west of Dili called Liquica. The death toll in the two attacks was more than sixty, but Indonesian authorities did not arrest any of the militia members responsible. Eyewitnesses reported direct army and police involvement.

On May 5, Indonesia and Portugal signed an agreement to put the autonomy proposal to the East Timorese people in a direct and secret ballot that would be administered by a U.N. mission in East Timor that became known as UNAMET. Security for the ballot and the preparations leading up to it would remain the responsibility of the Indonesian government. U.N. officials and East Timorese leaders knew at the time that this provision was a serious flaw, but they believed that no agreement would be possible without it, and that another chance for what amounted to a referendum on independence might never occur.

UNAMET staff began arriving in Dili in late June and quickly became the target of militia attacks, as violence against suspected independence supporters continued, often with Indonesian military backing or direct participation. U.N. Secretary-General Kofi Annan twice delayed the date of the vote because of security concerns. On August 30, close to 99 percent of eligible voters went to the polls, and on September 4, Annan announced that 78.5 percent had voted to reject the autonomy package and separate from Indonesia. Militia members, again backed by Indonesian soldiers, then initiated the scorched earth campaign that led to the destruction of most towns and villages and much of East Timor's physical infrastructure. Over 200,000 East Timorese were pushed into West Timor, long part of the Indonesian province of East Nusa Tenggara. Many of the refugees were forcibly expelled at gunpoint by militia members who then regrouped to terrorize them in West Timor. Most of the remaining population fled to the hills; out of East Timor's pre-referendum population of eight hundred thousand, humanitarian agencies were estimating that at least five hundred thousand had been displaced by mid-September. An unknown number of people were killed.

International pressure, which had been noticeably absent as militia violence was escalating in April, May, and June, eventually forced President Habibie to acknowledge that he could no longer control the situation, although many suspected that orders for the scorched earth campaign had in fact come from Jakarta. On September 12 President Habibie requested the assistance of a multinational force led by Australia. On September 15, the Security Council passed a resolution authorizing the International Force in East Timor, or Interfet, to be sent, and the first troops began arriving on September 20 to a totally devastated and burned out city.

On September 22 Sander Thoenes, a Dutch journalist for the Financial Times who had returned to Dili, was killed by men in Indonesian military uniforms. Clashes between Interfet forces and militia

members were continuing to take place through October, and security remained a major concern for the hundreds of thousands of East Timorese hiding in the forest and in church sanctuaries.

On September 27 a special session of the U.N. Commission on Human Rights passed a resolution, over the objections of Indonesia and other Asian countries, calling on the Secretary-General to establish an international commission of inquiry to look into violations of international humanitarian law in East Timor. The Secretary-General entrusted the task to U.N. High Commissioner for Human Rights Mary Robinson, and five commissioners were duly appointed on October 15. But at the same time, the Indonesian National Human Rights Commission set up its own inquiry to avoid, in its chairman's words, "foreign intervention." It was mandated to investigate genocide, extrajudicial executions, rape, torture, and arson, with anyone indicted to be tried before a new human rights tribunal. Both the Indonesian commission and the international commission pledged to have preliminary reports ready by December 31.

In the meantime, refugees in West Timor remained under the control of the militia, and the U.N. High Commissioner for Human Rights worked to ensure their speedy repatriation. An airlift of refugees began on October 8.

On October 19, the Indonesian MPR voted to ratify the results of the August 30 referendum and begin the process of turning East Timor over to a United Nations Transitional Administration in East Timor (UNTAET).

Defending Human Rights

Human rights advocates operated openly and vigorously in both Indonesia and East Timor, although in East Timor and Aceh, they were under constant threat. In East Timor on September 5, militia attacked and destroyed the office of the premier human rights organization there, Yayasan HAK, and the entire staff was forced into hiding. Human rights activists in Irian Jaya were also subject to government harassment.

Little progress was made, however, in holding senior officials responsible for human rights violations. On November 3, 1998, a government-appointed fact-finding team composed of NGOs, community leaders, and members of the military, released a summary of its findings on the three-day riot in Jakarta in May 1998. The report confirmed fifty-six cases of sexual violence, mostly against ethnic Chinese women. It also suggested some degree of state responsibility for the widespread looting and arson. But the full version of the report was never made public and by October 1999, none of its recommendations had been implemented.

One positive outcome of the riots was the formation of the National Commission on Violence Against Women, which was active during the year in East Timor and Aceh.

On September 8, a wide-ranging new law on human rights was passed, giving new powers to the National Commission on Human Rights, including subpoena powers, and allowing the establishment of human rights tribunals. The law also recognized the equal rights and responsibilities of spouses and guaranteed the right of children to be protected from dangerous and exploitative work. Unfortunately, article 118 of the new law also stated that no human rights abuse reported more than five years after its occurrence could be investigated or prosecuted.

On April 6, the Indonesian parliament ratified the International Convention on the Elimination of All Forms of Racial Discrimination of 1965. On April 23, it ratified three International Labor Organization (ILO) conventions: No. 105 on the abolishment of forced labor, No. 111 on employment discrimination, and No. 138 on minimum working age.

The Role of the International Community

United Nations

The U.N.'s role in East Timor through the arrival of the Interfet forces is described above. On October 25, the Security Council passed a resolution establishing the United Nations Transitional

Administration in East Timor under Chapter VII of the U.N. Charter. It was to be headed by a Special Representative with sweeping administrative powers, and to be supported by U.N. peacekeepers with "robust" rules of engagement.

In addition, the office of the U.N. High Commissioner for Human Rights appointed a representative to be based in Jakarta, in line with a 1998 "chairman's statement" of the U.N. Commission on Human Rights.

Aceh and Irian Jaya remained off limits to U.N. human rights visitors. In November 1998 the Special Rapporteur on Violence Against Women visited Jakarta and East Timor but was not allowed to visit Irian Jaya or Aceh. In February 1999, the U.N. Working Group on Arbitrary Detention visited Jakarta and East Timor but again was denied access to Irian Jaya and Aceh.

European Union

In a declaration issued February 19, the European Union (E.U.) welcomed Indonesia's new position on holding a popular consultation in East Timor, encouraged a reduction of Indonesian military presence there, and expressed concern about increasing violence and arming of civilian militia in the territory. Central and Eastern European countries associated with the E.U., Cyprus, and European Free Trade Association (EFTA) countries aligned themselves with the statement.

On September 7, the European Parliament condemned the violence in East Timor and said it would support a resolution to send in peacekeeping forces. On September 16, it passed a resolution calling for immediate recognition of the independent state of Timor Loro Sae, the provision of peacekeepers, humanitarian aid and financial support, and the formation of an international court to try crimes perpetrated there.

On September 18, the E.U. threw its weight behind international suspension of economic aid and arms sales to Indonesia. Its ban on export of arms, munitions, military equipment and bilateral military cooperation with Indonesia had initial applicability of four months. Speaking for the E.U. Council of Foreign Affairs Ministers, Finnish Foreign Affairs Minister Tarja Halonen said that the post-referendum violence had taken everyone by surprise.

On September 21, the Finnish E.U. presidency, issued a statement welcoming the deployment of Interfet in East Timor, and pressing for complete, early withdrawal of Indonesian troops, rapid disarmament of paramilitary elements, safe access for humanitarian organizations to East and West Timor, and the establishment of the international Commission of Inquiry to investigate alleged violations of international law.

The British government was embarrassed when it was revealed in mid-September that three British Hawk trainer jets were at the Bangkok airport awaiting delivery to Indonesia. Britain said it was powerless to stop the delivery, because the planes were already the legal property of Indonesia under a British Aerospace contract.

United States

The Clinton Administration linked Indonesia's democratic transition to the government's handling of East Timor, and put considerable resources into supporting economic recovery and the June parliamentary elections. Stanley Roth, the Assistant Secretary of State for East Asia and the Pacific, played a key role both in bilateral contacts and through efforts to mobilize support for the elections among other donors and Asian governments.

Through the United States Agency for International Development (USAID), the United States gave U.S. \$31 million to assist with election preparation, mainly for training, public education, and various election-monitoring operations under the auspices of Indonesian NGOs and American organizations. No funding was given to the Indonesian government. Just prior to the vote, the U.S. provided, with input from Indonesian NGOs, a pilot crowd control training program for the Jakarta police, in anticipation of possible post-election violence. The Administration attempted, but failed, to get other governments to contribute to the training.

At the Consultative Group meeting in July, the U.S. praised the "disciplined and relatively peaceful" run up to the elections, and the open press coverage during the campaign. It called for a greater role for civil society in the transition and the release of remaining political prisoners, and urged the government to end attacks by civilian militia in East Timor, though this was not a condition for U.S. aid.

The Administration requested \$70 million from Congress in FY 2000 for economic development assistance to Indonesia. In addition, it pledged an initial \$10 million for the multinational force in East Timor, and provided \$20 million in humanitarian assistance for East Timor and refugee aid in West Timor.

As of late October, the U.S. had deployed helicopters and support personnel for the U.N. operation in East Timor, with approximately 1,800 U.S. personnel on ships offshore, 150 troops handling communications equipment in Dili, and 300 more in Darwin, Australia supplying logistical and intelligence support.

Congressional hearings focused on the elections and on East Timor during the year. In testimony, senior State Department officials urged Jakarta to ensure that each step in the political transition was "free, fair and transparent," called for an end to abuses in Aceh, and called on the Habibie administration to foster dialogue and negotiation in Irian Jaya. Secretary of State Albright raised many of these concerns when she met with her Indonesian counterpart in Singapore at the ASEAN conference in July, and at the U.N. in New York in September.

President Clinton was outspoken on the East Timor crisis, and at the Asia Pacific Economic Cooperation (APEC) forum in New Zealand in mid-September lobbied for pressure on Habibie to invite a multilateral force into East Timor. There was close White House coordination with the Australian government throughout the crisis. Clinton publicly condemned the violence and said it was clear that the Indonesian military was aiding and abetting the militia. On September 9, he announced a suspension of U.S. military sales, commercial transfers, and training programs.

Direct military aid and training in 1999 totaled \$476,000, mainly for Expanded International Military Education and Training (IMET); Congress had already sharply limited most training programs in 1992, after the 1991 Santa Cruz massacre in Dili, though some joint training with Kopassus troops continued until all such programs ceased in May 1998 in response to Congressional pressure. Estimated commercial military sales approved in FY 1999 totaling \$16 million and licenses for export still pending approval were also suspended in September.

The role of the U.S. military was highly controversial-especially with regard to East Timor. The Pentagon argued that its high level contacts with General Wiranto and other senior officers provided a useful channel to send political messages on East Timor, the need for a stable electoral process, and democratic reform. U.S. Defense Secretary William Cohen met with Habibie and Wiranto in late September in Jakarta and also reportedly sent private letters urging the military to rein in the East Timor militia, as did General Henry Shelton, chairman of the Joint Chiefs of Staff.

But Congress was skeptical of the benefit of U.S. training programs and other forms of cooperation, and there was no clear evidence that more than forty years of such training had made a significant impact on the military's behavior.

In the Congress, bipartisan legislation required the U.S. to oppose non-humanitarian multilateral aid to Indonesia and to cut off all U.S. military ties and supplies until specific conditions were met, including the safe return of refugees and Indonesian civilian and military cooperation with the investigation and prosecution of abuses in East Timor. As of late October, similar provisions in a separate bill and in the foreign operations appropriations bill for FY 2000 were pending in both the House and Senate.

A House-Senate Congressional delegation visited East Timor in late July, and the House passed a strongly-worded resolution on September 28 urging the MPR to ratify the August 30 vote and expressing support for U.S. participation in the multilateral force, although not with combat troops.

Two State Department delegations traveled to West Timor, Dili and Jakarta to press for access to East Timorese refugees by U.N. agencies and an end to militia violence in the camps. Julia Taft, Assistant Secretary of State for Refugees, went to the camps with diplomats from Sweden, Japan, the United Kingdom, Thailand and Australia in late September; Harold Koh, Assistant Secretary of State for Democracy, Human Rights, and Labor also visited in early October. He called for a rapid and voluntary repatriation of refugees under U.N. auspices.

The U.S. strongly supported passage of the resolution by the special session of the U.N. Commission on Human Rights in September calling for an international commission of inquiry in East Timor.

Australia

The Australian government, perhaps inadvertently, played an important part in Habibie's decision to allow East Timorese to opt for independence. Australia also took the lead in responding to the post-referendum violence, causing relations between the two countries to plummet.

In a private letter sent to Habibie in December, Prime Minister John Howard outlined a proposal for an eventual vote on self-determination in East Timor following an extended period of autonomy. Australia had been the only Western country to recognize Indonesian sovereignty over the territory, a stance it adopted in 1978. The Howard letter, seen by Indonesia as a major policy shift (although it apparently was not intended as such by some in the Howard government), was a crucial factor in Habibie's January 27 announcement that Indonesia would consider independence for the territory.

From that point on, the East Timor question seemed to drive Australia's policy toward Indonesia, although the Australian government was also eager to see free and fair elections in Indonesia in June and provided significant financial and logistical support for them.

After the May 5 agreement between Indonesia and Portugal resulted in the establishment of the United Nations Assistance Mission in East Timor (UNAMET), Australians came to constitute UNAMET's largest component. Amid continuing violence leading up to the vote, Australia lobbied for increased numbers of international civilian police and military advisors.

Darwin became an international staging ground for relief efforts and military deployments after August 30. Australia organized and commanded the International Force for East Timor (Interfet) that entered East Timor on September 20; the deployment of four thousand five hundred soldiers (out of a total of seven thousand) was Australia's greatest troop mobilization since the Vietnam War.

Indonesian anger over the referendum results and the entry of Australian troops into East Timor sent Indonesia-Australian relations to their lowest point ever, and the Australian embassy in Jakarta and consulates elsewhere became the target of Indonesian nationalist protests.

Following an exchange of fire in East Timor that killed an Indonesian policeman, Indonesia suspended a 1995 security treaty that had committed the two countries to "mutual consultation" on "matters affecting their common security," and joint navy patrols in the oil-rich Timor Sea. Australia's carefully-cultivated relationship with the Indonesian armed forces, that had led to extensive training programs and joint exercises, also appeared to be destroyed.

World Bank

In one of the year's more dramatic developments, the International Monetary Fund (IMF) and World Bank, together with the Asian Development Bank and Japanese government, held up \$1.4 billion in loan disbursements from a \$43 billion rescue package to Indonesia as of September 30, and raised the possibility of putting billions more on hold. Although a corruption scandal involving a major bank, Bank Bali, was a key reason, the IMF and the Bank also linked the aid suspension to the violence in East Timor and Indonesia's commitments under the May 5, 1999, agreement between Indonesia and Portugal. This unprecedented use of multilateral and bilateral aid leverage was a major factor in convincing Jakarta to agree to an international force in East Timor.

